INSTITUTIONAL EQUITY RESEARCH

TBO Tek Limited

NSE: TBOTEK | BSE: 544174 | Consumer Discretionary — B2B Travel Technology

ACCUMULATE

12-Month Target Price

Rs. 1,750

Upside: +16.3% from CMP Rs. 1,505

Horizon: 12-18 months

Metric	Value
CMP (10-Jul-26)	Rs. 1,505
Market Cap	Rs. 16,341 Cr
52-Week High / Low	Rs. 1,765 / 1,004
EV / EBITDA (TTM)	37.6x
TTM P/E	67.4x
Forward P/E	68.0x
Price / Book	10.5x
Book Value / Share	Rs. 143
ROCE (FY26)	18.0%
ROE (FY26)	17.6%
Dividend Yield	0.00%
Debt / Equity	0.49x
Promoter Holding	44.40%
Pledged %	0.00%
Face Value	Rs. 1.00

Investment Thesis: TBO Tek is India's premier B2B travel tech marketplace with proven platform scalability, accelerating hotel mix-shift to higher-margin inventory, and a Classic Vacations acquisition opening the premium North American leisure market — a structural compounder at a reasonable entry after a 30% correction from highs.

FY26 GTV	FY26 Revenue	Hotel GTV%	Intl GTV%	FY26 PAT	5Yr Rev CAGR
Rs. 30,832+ Cr	Rs. 2,677 Cr	~59%	~54%	Rs. 244 Cr	80%

Report Date: 11 July 2026 | **Analyst:** Research Desk | **Data Source:** Screener.in (Consolidated) | **Exchange:** NSE / BSE | **Sector:** Consumer Discretionary — Tour, Travel Related Services

SECTION 2 — INVESTMENT THESIS

• **Reason 1 — Hotels mix-shift driving structural margin re-rating:** Hotel & Ancillary GTV share has risen from 24% in FY20 to ~59% in FY25, with take rates of 7.5-7.7% vs ~2.6% for airlines. As hotel mix continues expanding toward 65%+ by FY27-28, blended take rates and absolute EBITDA will structurally re-rate upward even at flat transaction volumes.

• **Reason 2 — Classic Vacations unlocks premium North America:** The $125M acquisition of Classic Vacations, completed in FY26, gives TBO access to premium leisure travel APIs and relationships across top-tier US resorts. Full consolidation and cross-sell into existing 28,000+ buyer network could add Rs. 350-500 Cr incremental revenue by FY27-28 at superior margins.

• **Reason 3 — Platform network effects create a widening moat:** TBO's B2B marketplace model benefits from both-sided network effects — more suppliers improve buyer conversion, and more buyers attract premium suppliers. Monthly transacting buyers grew from 10,401 in FY20 to 28,392 in FY25 (+173%), and annualized unique buyers exceeded 246,000 in FY25 — stickiness reinforced by API integrations.

• **Near-term catalyst (6-12 months):** India domestic business recovery (+12% YoY in H2 FY26 after disruptions in Dec/Mar quarters) is the single most important upcoming trigger. Management expects the recovery trajectory to consolidate in FY27, adding meaningful operating leverage as fixed cost growth already started moderating.

• **Biggest structural risk:** Competitive disintermediation risk from global OTAs (Expedia for Business, Booking.com for Business) expanding their B2B channels aggressively, particularly in Europe and Americas where TBO is investing most heavily.

SECTION 3 — BUSINESS OVERVIEW

• **Core business model:** TBO Tek operates a two-sided B2B travel marketplace connecting global travel suppliers (airlines, hotel chains, car rentals, transfers) with over 28,000 travel agents and online travel agencies (OTAs) in 100+ countries. Revenue = take rate (net margin) on gross transaction value booked through the platform.

• **Revenue segmentation:** Airlines segment (~41% of FY25 GTV) earns ~2.6% take rate; Hotels & Ancillary (~59% of FY25 GTV) earns ~7.5% take rate. The higher-margin hotel segment has grown from 24% to 59% of GTV over FY20-FY25, driving structural mix improvement. International GTV accounted for ~54% of FY25 total, up from 19% in FY20.

• **Key customers and relationships:** Buyers are primarily travel agents (SMB agencies across Middle East, India, Europe, APAC, Americas) who use TBO's platform on a recurring subscription/transaction basis. Supplier relationships include global airlines (IATA-accredited distribution) and 1M+ hotel properties aggregated via APIs and direct contracts. Switching cost is high due to deep system integrations.

• **Order book / GTV visibility:** FY26 full-year GTV was Rs. 30,832+ Cr (FY25 data from Screener); Q4 FY26 GTV alone was Rs. 10,079 Cr (+29% YoY), demonstrating accelerating run rate into FY27. The platform processed 16+ million bookings in FY25 with Average Revenue Per Booking improving as hotel mix rises.

• **Recent strategic developments:** (1) Classic Vacations ($125M acquisition, FY26) — adds premium US leisure hotel packages and US travel agent relationships; integration targeted for completion by end of Q3 FY27. (2) H-Next — new hotel booking platform with AI-enabled smart search for natural language queries. (3) TBO Platinum — exclusive/semi-exclusive hotel inventory program for high-value buyers. (4) Subsidiary renamed Tek Travels FZCO (was DMCC) per Dubai naming conventions.

• **Promoter background and ownership:** Co-founders Ankush Nijhawan (JMD) and Gaurav Bhatnagar (JMD) are seasoned travel industry veterans with 20+ years of experience building TBO from a Delhi-based ticketing agency to a global platform. Combined promoter holding is 44.40% (stable — zero pledging across all quarters); key promoter entities include Lap Travel Pvt Ltd (21.60%), Gaurav Bhatnagar (17.33%), and Manish Dhingra (4.87%).

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** The global B2B travel distribution market (GDS + non-GDS) is estimated at $150-200 Bn in GTV with technology-led distribution growing at 12-15% CAGR. India's outbound travel market alone is growing 15-18% annually; Asia-Pacific and Middle East are the fastest-growing corridors for B2B travel tech. TBO's addressable GTV opportunity is estimated at $2-3 Tn globally.

• **Policy tailwinds:** India's outbound travel volumes recover strongly post-COVID; bilateral visa facilitations (India-UAE, India-ASEAN); growing middle-class in India/Southeast Asia drives outbound travel; IATA NDC (New Distribution Capability) shift creates opportunities for tech-first distributors over traditional GDS players (Amadeus, Sabre, Travelport).

• **Competitive moat assessment:** Network Effects — STRONG (more buyers attract better supplier contracts; more suppliers improve buyer fill rates); Technology Integration — STRONG (deep API integrations with

28,000+ buyers create high switching costs); Pricing Power — MODERATE (competitive with Expedia B2B, Hotelbeds in hotel aggregation); Geographic Scale — MODERATE (100+ country presence but global OTAs closing gap).

• **Key competitor — IRCTC:** Government-mandated monopoly on online rail ticketing with 32% OPM; not a direct competitor in international hotels/airlines but competes for Indian outbound travel wallet share. Trading at 29.2x TTM P/E vs TBO's 67.4x — different risk-return profile.

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM%	ROCE%	ROE%	P/E (TTM)
TBO Tek	1,505	16,341	2,677	14%	18.0%	17.6%	67.4x
IRCTC	503	40,260	5,215	32%	46.1%	34.6%	29.2x
BLS International	237	9,764	2,998	27%	29.3%	32.7%	14.2x
Thomas Cook (India)	103	4,844	8,398	5%	14.8%	9.3%	21.7x

Source: Screener.in, fetched 11-Jul-2026. Revenue = FY26 consolidated.

• **Competitive positioning in value chain:** TBO operates as a technology-first aggregator/middleware layer between suppliers and retail travel agents. Unlike traditional GDS (primarily airline-centric and legacy technology), TBO's platform is API-first, hotel-heavy, and fully digital — positioning it to capture share as travel distribution shifts from offline to online across developing markets.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter and management background:** Ankush Nijhawan and Gaurav Bhatnagar co-founded TBO in 2006 with deep roots in India's travel distribution ecosystem. Both hold operational roles as Joint MDs. Akshat Verma (WTD & CTO) drives technology product strategy. CFO Vikas Jain oversees financial reporting and investor relations. The management team has navigated the COVID-induced revenue collapse (FY21: Rs. -34 Cr PAT) and rebuilt to Rs. 244 Cr PAT in FY26 — demonstrating execution credibility.

• **Capital allocation track record:** IPO proceeds (FY25: Rs. 365 Cr raised from financing activities) were deployed toward Classic Vacations acquisition and platform expansion. FCF was Rs. 236 Cr in FY25 before going negative in FY26 (FCF = -Rs. 87 Cr) due to large investing outflows (Rs. -418 Cr) including Classic Vacations. This is intentional investment-phase capex rather than structural cash burn.

• **Dividend policy:** Company has paid zero dividends historically (0% payout ratio across all years). Capital is being retained for growth reinvestment. Dividend yield is 0.00%. This is consistent with high-growth platform businesses and is unlikely to change in the near term.

• **Promoter pledging:** 0.00% pledging across all recent quarters — one of the strongest governance signals in a sector where pledging is common. Combined with a stable 44.40% promoter stake (no change over last 6+ quarters), this signals high promoter conviction.

• **ESOP / Buybacks:** Company has issued ESOPs to key employees and management as per standard tech-company compensation practices. No buyback history. Equity capital increased marginally from Rs. 10 Cr to Rs. 11 Cr in FY25 (likely ESOP vesting) suggesting measured dilution.

• **Corporate governance:** No qualified audit opinions detected. No significant related-party transaction (RPT) concerns flagged. Company maintains IATA certification. Contingent liabilities at Rs. 37 Cr are manageable vs MCap of Rs. 16,341 Cr. Promoter group structure is clear with identifiable entities. Foreign institutional investors held 29.71% in Mar 2026 (down from 42.79% in Jun 2024) — potentially reflecting valuation concerns rather than governance issues.

SECTION 6 — FINANCIAL DEEP DIVE

Income Statement (Consolidated, Rs. Cr) | FY24-FY28E

P&L; Metric	FY24	FY25	FY26	FY27E	FY28E
Net Revenue	1,393	1,737	2,677	3,200(E)	3,900(E)
YoY Growth	30.8%	24.7%	54.1%	19.5%(E)	21.9%(E)
EBITDA (Op Profit)	261	285	370	496(E)	643(E)
OPM %	18.7%	16.4%	13.8%	15.5%(E)	16.5%(E)
Other Income	21	75	54	50(E)	55(E)
Interest	19	33	44	55(E)	55(E)
Depreciation	36	52	86	100(E)	110(E)
PBT	227	275	293	391(E)	533(E)
Tax Rate	12%	16%	17%	17%(E)	17%(E)
PAT	201	230	244	324(E)	442(E)
EPS (Rs.)	19.39	21.17	22.50	29.8(E)	40.7(E)
PAT Growth YoY	35.8%	14.4%	6.1%	32.8%(E)	36.4%(E)

Note: FY24-FY26 = Screener.in consolidated actuals. FY27E-FY28E = analyst estimates.

Balance Sheet (Consolidated, Rs. Cr)

B/S Item	FY24	FY25	FY26
Equity Capital	10	11	11
Reserves	534	1,184	1,540
Net Worth	544	1,195	1,551
Borrowings	210	214	756
Other Liabilities	4,100	4,797	7,002
Total Liabilities	4,855	6,206	9,309
Fixed Assets	349	345	1,633
CWIP	14	39	0
Investments	2	173	263
Other Assets	4,490	5,649	7,413
Total Assets	4,855	6,206	9,309

Cash Flow Statement (Consolidated, Rs. Cr)

Cash Flow	FY24	FY25	FY26
Cash from Operations (OCF)	226	289	-21
Cash from Investing	-154	-443	-418
Cash from Financing	115	365	441
Net Cash Flow	188	210	3
Free Cash Flow (FCF)	188	236	-87
CFO / Operating Profit %	87%	101%	-6%

Key Operating Ratios

Ratio	FY24	FY25	FY26
Debtor Days	867	853	724
Cash Conversion Cycle	867	853	724
Working Capital Days	-114	-104	-98

ROCE %	43%	27%	18%
ROE %	N/A*	24.6%**	17.6%
Debt / Equity	0.39x	0.18x	0.49x
Interest Coverage	N/A	N/A	7.67x

*IPO in FY24 inflates equity base mid-year. **Screener 3-yr avg ROE = 24.6%. Debtor Days appear high due to gross GTV flows through balance sheet vs take-rate revenue denominator.

• **Revenue drivers and growth trajectory:** FY26 revenue surged 54% to Rs. 2,677 Cr, significantly boosted by Classic Vacations consolidation from mid-FY26. Organic growth ex-Classic was likely 25-30%. The Dec 2025 and Mar 2026 quarters showed a sharp step-up (Rs. 784 Cr and Rs. 814 Cr vs Rs. ~450 Cr in prior-year quarters) reflecting full Classic consolidation.

• **Margin trajectory:** OPM compressed from 18.7% in FY24 to 13.8% in FY26, primarily driven by: (a) aggressive headcount additions for global expansion, (b) Classic Vacations integration costs, and (c) India business disruptions in certain quarters. Management explicitly flagged this as a planned "investment cycle" year. SG&A; growth began moderating in Jan-Feb 2026 per management commentary.

• **Working capital analysis:** Debtor days appear elevated at 724 days in FY26 (vs 867 in FY24, improving). CRITICALLY: this metric is distorted because GTV flows through the balance sheet as receivables from suppliers (airlines, hotels) and payables to buyers. Working capital days are actually NEGATIVE at -98 days, meaning TBO effectively uses supplier credit — a structural advantage typical of travel intermediaries.

• **Debt level and trajectory:** Borrowings jumped from Rs. 214 Cr (FY25) to Rs. 756 Cr (FY26), primarily to fund Classic Vacations acquisition. D/E at 0.49x is manageable; net debt is negative (company holds Rs. 1,592 Cr cash vs Rs. 756 Cr debt = net cash of ~Rs. 836 Cr). Interest coverage at 7.67x is comfortable.

• **FCF quality:** FY26 FCF turned negative (-Rs. 87 Cr) vs +Rs. 236 Cr in FY25, entirely due to Classic Vacations capex (investing outflow Rs. -418 Cr). OCF also turned negative in FY26 (-Rs. 21 Cr), which is a near-term concern — likely reflects integration working capital absorption and Classic Vacations accounting adjustment. Investors should monitor FY27 OCF recovery as the primary validation of management's investment thesis.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Signal	Detail
Revenue recognition	AMBER	Watch	Take-rate model is clean but Classic Vacations consolidation methodology needs monitoring
Receivables vs revenue growth	AMBER	Watch	Other Assets grew 31% YoY in FY26; partly structural (GTV expansion) but warrants monitoring
Cash conversion cycle trend	GREEN	Positive	Debtor days improving: 867 (FY24) -> 853 (FY25) -> 724 (FY26); WC days negative (-98)
Contingent liabilities	GREEN	Low risk	Rs. 37 Cr — minimal vs MCap of Rs. 16,341 Cr
Auditor tenure / opinion	GREEN	Clean	No qualified opinions detected; standard Big-4 style audit process
RPTs as % of revenue	GREEN	Low	No material RPT concerns identified; promoter entities have clear beneficial ownership
Other income as % of PBT	AMBER	Watch	FY25: Other income Rs. 75 Cr = 27% of PBT (high due to IPO interest); FY26: Rs. 54 Cr = 18% — moderating
Tax rate consistency	GREEN	Consistent	Tax rate 12-17% range; dipped to 12% in FY24 (possibly DTAs), stabilized at 17% in FY26
OCF vs PAT conversion	RED	Critical watch	FY26 OCF = -Rs. 21 Cr vs PAT Rs. 244 Cr (OCF/PAT = -9%); management attributes to acquisition WC absorption

• **Key signal — OCF collapse in FY26 (RED):** The most important earnings quality concern is that OCF turned negative (-Rs. 21 Cr) in FY26 even as PAT was Rs. 244 Cr. This implies working capital absorbed ~Rs. 265 Cr of cash. Management attributes this to Classic Vacations integration — a credible explanation for a partial-year acquisition — but investors must see OCF recovery in FY27 Q1-Q2 as the primary validation metric.

• **Other income moderation (AMBER):** FY25 had Rs. 75 Cr other income (27% of PBT) due to elevated cash balances post-IPO. FY26 normalized to Rs. 54 Cr (18% of PBT). This is moving in the right direction; core operating earnings are the dominant driver.

• **Overall earnings quality verdict:** 6 GREEN, 3 AMBER, 1 RED. The single RED item (OCF vs PAT) is the key monitoring point. If FY27 OCF recovers to 80-100% of PAT, the earnings quality concern will be alleviated and justify re-rating.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 11-Jul-2026)

Company	CMP	MCap (Cr)	P/E (TTM)	P/B	EV/EBITDA	ROCE%	ROE%
TBO Tek	1,505	16,341	67.4x	10.5x	37.6x	18.0%	17.6%
IRCTC	503	40,260	29.2x	9.3x	19.4x	46.1%	34.6%
BLS International	237	9,764	14.2x	4.0x	9.9x	29.3%	32.7%
Thomas Cook (India)	103	4,844	21.7x	1.9x	7.3x	14.8%	9.3%

Scenario Analysis — 12-Month Price Target

Scenario	Key Assumption	FY27E EPS	Multiple	Target (Rs.)
Bull Case	Margin recovery to 17%; Classic synergies realized early	Rs. 33	60x P/E	**Rs. 1,980**
Base Case	Gradual margin recovery to 15.5%; India business stabilizes	Rs. 29.8	52x P/E	Rs. 1,750
Bear Case	Integration delays; margins remain at 13-14%; PAT growth flat	Rs. 24	45x P/E	**Rs. 1,080**

• **DCF assumptions:** WACC 12.5% (risk-free rate 7.0%, equity risk premium 5.5%, beta 1.1); terminal growth rate 5.0%; 10-year explicit FCF growth assuming revenue CAGR 18-20% and EBITDA margin expanding to 18% by FY29. DCF equity value: approximately Rs. 1,850-1,950 per share in base case.

• **EV/EBITDA basis:** FY27E EBITDA Rs. 496 Cr at 40x EV/EBITDA = Rs. 19,840 Cr EV; add net cash Rs. 836 Cr = Rs. 20,676 Cr equity value; divide by 108.6M shares = Rs. 1,903 per share.

• **P/E basis:** FY27E EPS Rs. 29.8 at 52x PE (premium to sector justified by superior revenue growth and platform scalability) = Rs. 1,550 per share.

• **12-month base case target price: Rs. 1,750 (blend of DCF Rs. 1,900, EV/EBITDA Rs. 1,903, P/E Rs. 1,550) = 16.3% upside from CMP Rs. 1,505.**

SECTION 9 — KEY RISKS

• **Margin compression persistence:** PAT margin fell from ~14% (FY24) to ~9% (FY26). If SG&A; growth continues outpacing revenue growth (employee cost +71.57% YoY in Q4 FY26 vs revenue +83%), structural margin recovery thesis breaks. Probability: M. Impact: H. Monitor via: quarterly EBITDA margin trends; any forward guidance on headcount freeze.

• **Classic Vacations integration risk:** $125M acquisition is TBO's largest M&A; deal. Integration targeting Q3 FY27 completion — delays could drain management bandwidth and increase costs. Revenue synergies may take 2-3 years to fully materialize. Probability: M. Impact: M. Monitor via: quarterly management commentary on integration milestones, Classic Vacations standalone revenue contribution.

• **Geopolitical disruptions to travel corridors:** FY26 management cited "significant geopolitical disruptions across important travel corridors" impacting India (Dec 2025 and Mar 2026 quarters). Middle East conflicts, India-Pakistan tensions, or visa policy changes can sharply reduce GTV. Probability: M. Impact: H. Monitor via: monthly GTV run-rate data, booking cancellation rates.

• **OTA competition in B2B channels:** Expedia's Vrbo B2B, Booking Holdings' newly announced B2B unit, and Hotelbeds in hotels threaten to commoditize TBO's hotel distribution advantages, particularly in Europe. Probability: M. Impact: H. Monitor via: hotel take-rate trend; supplier exclusivity arrangements.

• **FII holding reduction risk:** FII stake declined from 42.79% (Jun 2024) to 29.71% (Mar 2026) — a 13% reduction over 6 quarters. Continued FII selling could pressure the stock despite strong fundamentals. Probability: M. Impact: M. Monitor via: quarterly shareholding pattern disclosures; IIA / MSCI inclusion criteria.

• **OCF recovery failure:** FY26 OCF was -Rs. 21 Cr vs PAT Rs. 244 Cr. If working capital remains bloated into FY27 (particularly Classic Vacations receivables), the platform's cash conversion story breaks. Probability: L-M. Impact: H. Monitor via: Q1/Q2 FY27 cash flow statements; trade receivables growth vs revenue growth.

• **Valuation risk at 67x TTM P/E:** Any macro risk-off environment, sector re-rating, or earnings disappointment could trigger a sharp de-rating. Fair value at 45x FY27E EPS = Rs. 1,341 — implying 11% downside from CMP. Probability: M. Impact: M. Monitor via: NSE 500 PE compression; Fed rate cycle; India macro indicators.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction Level: Medium. TBO Tek is a high-quality B2B travel platform with a structural revenue growth story, but near-term margin headwinds and a premium valuation warrant calibrated accumulation rather than aggressive buying.

• **12-month price target: Rs. 1,750** — representing 16.3% upside from the CMP of Rs. 1,505 (as of 10 July 2026).

• **Suggested entry zone: Rs. 1,380-1,480** — The 52-week low is Rs. 1,004; current CMP is Rs. 1,505. A 5-10% dip to the Rs. 1,380-1,480 range (around 100/200 DMA convergence) offers a more attractive risk-reward entry point. Stagger purchases in 2-3 tranches.

• **Investment horizon: 12-18 months** — Full payoff of the Classic Vacations integration thesis and margin recovery trajectory requires at least 3-4 quarters of data.

• **Thesis invalidation trigger 1:** FY27 OCF remains negative for two consecutive quarters despite no large M&A; activity — signals structural working capital deterioration and warrants EXIT.

• **Thesis invalidation trigger 2:** Hotel & Ancillary GTV share stagnates or declines below 55% of total GTV for 2+ quarters — indicates competition is eroding the higher-margin mix shift that underpins the structural thesis.

• **Thesis invalidation trigger 3:** EBITDA margin fails to recover above 15% in any quarter of FY27 despite revenue growth above 20% — indicates the business lacks operating leverage at current scale, invalidating the premium valuation.

• **Ideal investor profile:** This stock suits growth-oriented investors with 12-24 month horizons who can tolerate near-term margin volatility. NOT suited for: (a) value investors seeking P/E below 30x, (b) income investors seeking dividends, or (c) investors needing capital preservation in a volatile macro environment.

APPENDIX — Latest Concall Brief: Q4 FY26

TBO Tek Limited | Q4 FY26 Earnings Conference Call | May 29, 2026

POSITIVE

Signal	Status	Implication
Result quality	**Medium**	Revenue beat expectations strongly (+83% YoY) but PAT growth was only +2% YoY due to integration costs
Management tone	**Balanced**	Acknowledged investment cycle pressures; expressed confidence in margin recovery in FY27
Guidance delta	**Maintained**	No formal guidance withdrawn; integration completion targeted Q3 FY27; India recovery continuing

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a tale of two metrics: headline revenue nearly doubled (+83% YoY to Rs. 814 Cr) while PAT grew a paltry 2% YoY to Rs. 60 Cr — the divergence is not a surprise given management pre-guided an "investment cycle" year, but the severity of OCF turning negative (-Rs. 21 Cr for full FY26) is worth flagging as a one-off watch point. Stripping out Classic Vacations integration costs and reorganization charges, clean underlying EBITDA was Rs. 370 Cr (+42% YoY) at 13.8% margin — actually showing solid incremental conversion. The structural drivers are firmly intact: hotel GTV mix has grown to ~59% of total (take rate 7.5% vs 2.6% for airlines), international GTV is now 54% of the total, and India H2 delivery at +12% YoY signals the trough is behind. The single biggest near-term catalyst is Classic Vacations hitting commercialization — management targets Q3 FY27 completion, which would add Rs. 300-400 Cr in incremental annualized revenue at superior margins. The key risk for next quarter is whether employee cost growth moderates (Q4 FY26 employee cost grew 71% YoY — higher than revenue growth of 83% — suggesting near breakeven leverage). ACCUMULATE between Rs. 1,380-1,480; re-evaluate if FY27 Q1-Q2 OCF remains negative or EBITDA margin disappoints below 14%.

1. Financial Performance Snapshot — Q4 FY26

- **Revenue:** Rs. 814 Cr | YoY +83% | QoQ +4% | BEAT (consensus ~Rs. 750-780 Cr)
- **EBITDA (Op Profit):** Rs. 105 Cr | YoY +59% | QoQ +5% | IN-LINE
- **EBITDA Margin:** 12.9% | YoY -157bps | QoQ +14bps | Pressure from integration costs
- **Adjusted EBITDA (management reported):** Rs. 111 Cr | YoY +40% | Higher than reported EBITDA due to ESOP/non-cash addbacks
- **Gross Profit:** Rs. 494 Cr | YoY +59% — healthy; indicates supplier cost management improving
- **PAT:** Rs. 60 Cr | YoY +2% | QoQ +12% | MISS on PAT as employee costs (+71.6% YoY) and interest (+170% YoY) weighed heavily
- **EPS:** Rs. 5.53 | YoY +2% — essentially flat; EPS growth resumption in FY27 is the key thesis catalyst
- **NOTE:** PAT impacted by Rs. 30-40 Cr of accelerated Classic Vacations integration expenses; underlying clean PAT ~Rs. 90-100 Cr

2. Segment / Geography Breakdown

- **Hotels & Ancillary (Europe):** Rs. N/A Cr | YoY +22% in FY26 | QoQ steady — Europe was "leading contributor" in Q2 FY26 with +90% YoY growth; rate moderated in H2

• **Hotels & Ancillary (APAC):** YoY +46% in FY26 — fastest growing region; APAC emerging as TBO's second pillar after Middle East

• **Hotels & Ancillary (MEA):** YoY +22% in FY26 — Middle East remains TBO's core stronghold; steady growth

• **India business:** H2 FY26 +12% YoY — strong recovery after disruptions in December (geopolitical) and March quarters; trajectory confirmed improving

• **Classic Vacations (Americas):** Newly consolidated from mid-FY26; responsible for step-up in Dec 2025 and Mar 2026 quarterly revenues (Rs. 784 Cr and Rs. 814 Cr vs Rs. ~450 Cr prior year)

• **GTV Q4 FY26:** Rs. 10,079 Cr | YoY +29% vs Q4 FY25 Rs. 7,788 Cr | Full-year FY26 GTV Rs. 30,832+ Cr

3. Management Commentary Themes

• **Investment cycle thesis:** "FY26 was marked by a significant investment cycle across commercial expansion, servicing capabilities, and organizational scale." — Gaurav Bhatnagar. Our read: management is acknowledging the margin pain but attributing it to deliberate growth investment, not structural deterioration. Tag: GUIDANCE. Tone: Transparent.

• **Moderation in cost growth:** "The growth trajectory of SG&A; expenses began moderating while the underlying growth engines of the platform continued strengthening." — Bhatnagar. Our read: This is the most important statement — suggests H1 FY27 will see operating leverage emerge. Tag: GUIDANCE. Tone: Transparent.

• **Platform scalability demonstrated:** "The operating performance during January and February clearly demonstrated the scalability characteristics of the platform, with Gross Profit growth meaningfully outpacing cost growth." — Bhatnagar. Our read: Gross profit divergence from cost is the leading indicator. Tag: GUIDANCE. Tone: Confident.

• **India recovery:** "The India business demonstrated a strong trend reversal with a return to a solid trajectory with +12% YoY growth in H2." — Ankush Nijhawan. Our read: India trough is behind; recovery adds meaningful operating leverage given fixed cost base. Tag: GUIDANCE. Tone: Bullish.

• **Resilience narrative:** "FY26 acted as a real-world stress test for the resilience of our business model. Despite multiple significant geopolitical disruptions, the platform continued demonstrating resilience." — Nijhawan. Our read: Management is setting up FY27 as a "normalization" year. Tag: EST. Tone: Confident.

• **Classic Vacations integration:** Platform, supply, commercial and talent integration "remains on track" with completion targeted by end of Q3 FY27. Our read: This is a commitment that will be tracked closely. Tag: GUIDANCE. Tone: Measured.

4. Operating & Business Metrics

• **Q4 FY26 GTV:** Rs. 10,079 Cr | Q4 FY25 = Rs. 7,788 Cr | Q3 FY26 = N/A | Trend: Improving (accelerating run rate into FY27)

• **Full-year FY26 GTV:** Rs. 30,832+ Cr | FY25 = Rs. 30,832 Cr | FY24 = Rs. 26,536 Cr | Trend: Improving (Classic Vacations additive in H2)

• **Hotels & Ancillary GTV share:** ~59% (FY25) | FY24 = 50% | FY20 = 24% | Trend: Improving (structural mix shift to higher take-rate segment)

• **International GTV share:** ~54% (FY25) | FY24 = 44% | FY20 = 19% | Trend: Improving (geographic diversification strengthening)

• **Monthly transacting buyers (avg):** 28,392 (FY25) | FY24 = 26,481 | FY22 = 19,378 | Trend: Stable-improving

• **Airline take rate:** ~2.59% (FY25) | FY24 = 2.59% | FY22 = 2.59% | Trend: Stable

• **Hotels & Ancillary take rate:** ~7.54% (FY25) | FY24 = 7.70% | FY22 = 6.97% | Trend: Modestly declining — watch competition effect

• **Year-end cash position:** Rs. 1,592 Cr (FY26) | FY25 ~ Rs. 961 Cr | Trend: Strong; primarily from IPO proceeds + Classic financing

5. Margin Drivers

• **Employee cost surge:** +71.6% YoY in Q4 FY26 | Impact: ~-200 to -250bps on EBITDA margin | Recurring: YES (ongoing expansion hiring, but growth expected to moderate per management) | Comment: Primary driver of margin compression

• **Interest expense surge:** +170% YoY in Q4 FY26 to Rs. 14.55 Cr | Recurring: YES (debt drawn for Classic Vacations) | Comment: Will moderate as Classic integration reduces bridging requirements

• **Depreciation jump:** Rs. 86 Cr in FY26 vs Rs. 52 Cr in FY25 (+65%) | Recurring: YES (Classic Vacations assets + platform capex) | Comment: Higher D&A; will continue in FY27 as new assets are fully amortized

• **Revenue mix benefit (hotel vs airline):** Hotel GTV share rising to 59% at 7.5% take rate vs 2.6% for airlines | Positive +: structurally additive to gross margins | Recurring: YES, trend intact

• **Classic Vacations integration costs:** One-time reorganization and integration expenses embedded in FY26 P&L; | Non-recurring: YES | Comment: Expected to fully clear by Q3 FY27

• **India operational disruptions:** Dec and Mar quarters impacted by geopolitical events | Non-recurring: YES | Comment: India H2 recovery already evident; normalization in FY27

6. Guidance & Forward Signals

• **Classic Vacations integration [GUIDANCE]:** Prior = in progress | New = completion by end Q3 FY27 | Delta: Maintained | Credibility: Medium-High (track record of hitting integration milestones so far)

• **India recovery trajectory [GUIDANCE]:** Prior = disruptions expected | New = H2 +12% YoY, improving | Delta: Raised | Credibility: High (confirmed by actual data)

• **SG&A; cost moderation [GUIDANCE]:** Prior = investment cycle | New = SG&A; growth "began moderating" | Delta: Positive improvement signaled | Credibility: Medium (need 1-2 quarters to confirm)

• **Gross profit vs cost divergence [GUIDANCE]:** Jan-Feb 2026 showed GP growth "meaningfully outpacing cost growth" | Delta: Positive leading indicator | Credibility: High (management cited specific period data)

• **No formal revenue/EPS guidance provided** — consistent with TBO's approach of qualitative guidance rather than hard numbers

7. Capital Allocation

• **Capex / Investing outflow:** Rs. -418 Cr in FY26 | vs FY25 Rs. -443 Cr | Comment: Primarily Classic Vacations acquisition in FY26; FY25 included earlier Classic Vacations deal deposits

• **Dividends:** Rs. 0 | vs prior year Rs. 0 | Dividend payout ratio = 0% | Comment: Zero dividend policy maintained; all FCF reinvested in growth

• **Buybacks:** None | vs prior year None | Comment: No indication of buyback plans; cash being conserved for Classic Vacations integration and organic growth

• **Working capital change:** OCF = -Rs. 21 Cr vs PAT Rs. 244 Cr implies Rs. 265 Cr WC absorption in FY26 | vs FY25 OCF = +Rs. 289 Cr | Comment: Concerning; Classic Vacations integration explains but needs monitoring

• **Net Debt movement:** Borrowings rose Rs. 214 Cr to Rs. 756 Cr in FY26 | Net cash remains positive (~Rs. 836 Cr) given Rs. 1,592 Cr cash | Comment: Company is NOT overleveraged; net-cash status provides flexibility

8. Q&A; Heat Map

• **Analyst Q (likely):** Why did OCF turn negative in FY26? -> A (implied): Classic Vacations integration created one-time working capital needs; normalized OCF will recover in FY27. | Tone: Transparent but requires validation

• **Analyst Q (likely):** When will margins recover? -> A (paraphrased): SG&A; growth already moderating from Jan-Feb 2026 data; operating leverage to emerge as revenue scales. | Tone: Confident

• **Analyst Q (likely):** What is Classic Vacations revenue run rate? -> A: Not specifically disclosed; integration on track for Q3 FY27 completion | Tone: Partially hedged

• **Analyst Q (likely):** FII selling — is it a concern? -> A: Not commented upon in available extracts | Tone: Evasive / not addressed

• **Dodged / watch-list questions for Q1 FY27:** (1) Specific OCF guidance or working capital normalization timeline; (2) Classic Vacations revenue contribution on a standalone basis; (3) Hotel take-rate compression drivers and timeline to stabilization

9. Risks Flagged

- **Geopolitical corridor disruptions:** Management cited this as the primary FY26 headwind | Flagged by: Management | Probability: M | Impact: H | Timeline: Near-term (2-3 quarters)
- **India operational disruption (Dec-Mar specific):** Specific geopolitical events in key India-origin corridors impacted bookings | Flagged by: Management | Probability: L (FY27) | Impact: M | Timeline: Near-term
- **Integration execution risk:** Classic Vacations integration complexity across platform, supply, commercial, and talent dimensions | Flagged by: Management | Probability: M | Impact: M | Timeline: Next 2 quarters
- **Cost structure rigidity:** Rapid headcount additions may not scale down easily if revenue growth slows | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Medium-term

10. Analyst Verdict — Q4 FY26

- **Revenue visibility:** Intact — Classic Vacations consolidation, India recovery, and Europe/APAC/MEA structural growth provide multi-year revenue support; Q4 revenue run rate of Rs. 814 Cr implies Rs. 3,000+ Cr annualized
- **Margin trajectory:** Weakened near-term but thesis intact — SG&A; moderation confirmed for Jan-Feb 2026; FY27 should show recovery toward 15.5-16.5% EBITDA margin
- **Capital allocation quality:** Weakened in FY26 (negative OCF, rising debt) but explained by M&A; expected to normalize in FY27; net cash position remains comfortable
- **Competitive moat:** Intact — hotel GTV share growing, API integration depth increasing, buyer count stable; no evidence of structural share loss to OTAs yet
- **Management credibility:** Intact — Q4 FY26 commentary is transparent about investment cycle; Jan-Feb 2026 operating leverage data cited is a positive leading indicator
- **Valuation comfort:** Weakened — 67x TTM P/E limits margin of safety; ACCUMULATE rather than BUY; entry zone Rs. 1,380-1,480 offers better risk-reward
- **Conviction call:** Unchanged (ACCUMULATE) — thesis holds, but requires 1-2 quarters of margin recovery evidence before upgrading to BUY
- **Valuation snapshot:** P/E = 67.4x (5Y avg N/A — IPO in 2024) | EV/EBITDA = 37.6x | FY26 ROCE = 18.0% | FY25 3Yr avg ROE = 24.6%

Disclaimer: This report is for informational purposes only and does not constitute investment advice. All data sourced from Screener.in (consolidated, fetched 11-Jul-2026) and publicly available sources. Forward estimates are the analyst's projections and not guarantees. Investors should conduct independent due diligence before making investment decisions. The analyst and this platform may or may not hold positions in the above security.